

1.1 What is Valuation?

Understanding the True Value

Identifying quality companies that generate good profits at low cost is the first and foremost step in stock evaluation. If we choose a competent well-managed company but end up spending an exorbitant price! We will suffer from poor investment results. In such instances, we will end up paying more than the genuine value of the stock which ultimately results in lower returns than expected. Therefore, finding the correct price to buy or, more importantly, sell something is just as important as identifying a stock.

"All successful investment involves trying to get into something where it's worth more than you are paying. That's what successful investing is. There are a lot of different ways to find something worth more than what you are paying"

- Charlie Munger

